

Table 9.10 Trading Tactics

Trading Tactic	Explanation
Measure rule	Compute the formation height from highest high to the horizontal trendline. For upward breakouts, add the height to the highest high in the pattern. For downward breakouts, subtract the height from the value of the horizontal trendline. The result is the target price. More accurate targets use a formation height divided by 2. The bottom portion of the table shows how often the measure rule works.
Partial rise or decline	Use a partial rise or decline as an entry signal. A partial rise works 61% of the time and a partial decline works 80% of the time in correctly predicting the breakout direction.
Intraformation trade	For tall patterns, buy near the lower trendline and sell near or at the top when price stops rising.
Stop location	Use Table 9.7 for help placing a stop.
Busted trade	Table 9.9 may help you decide to trade a busted pattern.

Description	Up Breakout	Down Breakout
Percentage reaching half height target	86%	68%
Percentage reaching full height target	68%	40%
Percentage reaching 2× height	50%	19%
Percentage reaching 3× height	37%	9%

To use the rule, compute the pattern's height, the difference between the highest high and the horizontal trendline in the formation. For upward breakouts, add the height to the highest high in the pattern. For downward breakouts, subtract the height from the value of the horizontal trendline. The result is the target price.

The lower portion of the table shows how often price reaches the target for various heights. For example, if you use the full height, price will reach the